**NATIONAL COMPANY LAW TRIBUNAL**
**CHANDIGARH BENCH (COURT-I), CHANDIGARH**

**I.A. No. 1743/2024**
**in**
**CP (IB) No. 148/Chd/Chd/2024**

*(An Application under section 60(5) of the Insolvency and Bankruptcy Code, 2016 read with Rule 11 and Rule 14 of the National Company Law Tribunal Rules, 2016)*

**IA 1743/2024:**

**ASHWINI KUMAR OBEROI**
S/o late Sant Ram
Residing at House No 461-R, Model Town
Yamuna Nagar, Haryana

**.... Applicant**

**Vs.**

**1. DISTRICT MAGISTRATE, JAGADHRI**

**.... Respondent No. 1**

**2. STATE BANK OF INDIA,**
Stressed Assets Management Branch
1st Floor, SCO No. 99-107, Sector 8C, Chandigarh 160018

**.... Respondent No. 2**

**In the matter of:**

**Ashwani Kumar Oberoi (PG)**

.....Petitioner u/s 94, IBC

**Order delivered on: 25.03.2026**

**CORAM: HON'BLE MR. KHETRABASI BISWAL, MEMBER (JUDICIAL)**
**HON'BLE MR. SHISHIR AGARWAL, MEMBER (TECHNICAL)**

**Present: -**

| | | |
|---|---|---|
| **For the Applicant** | : | Mr. Aalok Jagga, Advocate<br>Mr. Sahil Lohan, Advocate<br>Mr. APS Madan, Advocate<br>Mr. Aryaman Jagga, Advocate<br>Mr. Madhav Singhal, Advocate |
| **For the Respondent No. 2 (SBI)** | : | Ms. Munisha Gandhi, Sr. Advocate<br>Ms. Salina Chalana, Advocate<br>Mr. Harsh Garg, Advocate<br>Mr. Ramneek Kaur Mann, Advocate<br>Mr. Pulkit Goyal, Advocate |

**ORDER**

**1.** The present Application has been filed by the Applicant, Mr. Ashwani Kumar Oberoi (Personal Guarantor), under Section 60(5) read with Section 96 of the Insolvency and Bankruptcy Code, 2016 read with Rule 11 of the National Company Law Tribunal Rules, 2016, inter alia seeking directions to restrain the Respondents from proceeding to take physical possession of the property bearing Plot No. N-31, Industrial Area, Yamunanagar, on the ground that the same is in violation of the interim moratorium under Section 96 of the Code in view of the pendency of CP (IB) No. 148/CHD/CHD/2024 filed under Section 94 of the Code.

***FACTS AND SUBMISSIONS OF THE APPLICANT:***

**2.** The brief facts of the case, as stated in the application and relevant for adjudication of the present application, are summarised as follows:

(i) The Applicant, Mr. Ashwani Kumar Oberoi, is stated to be the Personal Guarantor to M/s Kirtiman Cements and Packaging Industries Limited. It is submitted that the Applicant has filed CP (IB) No. 148/CHD/CHD/2024 under Section 94 of the Insolvency and Bankruptcy Code, 2016 seeking resolution of his debts, which was e-filed on 27.04.2024 and thereafter hard copy was filed on 30.05.2024.

(ii) It is submitted that the said petition came up for hearing on 10.06.2024 and the Respondent Bank had appeared pursuant to Caveat No. 13 of 2024. It is further submitted that as per the caveat filed by the Respondent Bank, an auction of the secured asset had been conducted on 11.04.2024, however, at that stage, no sale certificate had been issued in respect of the said auction.

(iii) It is submitted that on the date of filing of the Section 94 petition, i.e. on 29.04.2024, no sale certificate had been issued by the Respondent Bank and therefore the rights in the property had not been crystallised in favour of any third party. However, subsequently, the Respondent Bank issued a Sale Certificate dated 31.05.2024 in respect of the property bearing Plot No. M-31 (also referred as Plot No. N-31), Industrial Area, Yamunanagar, which according to the Applicant has been done in breach of the interim moratorium under Section 96 of the Code.

(iv) It is further submitted that despite being aware of the pendency of the proceedings under Section 94 of the Code, the Respondent Bank proceeded with further recovery actions. In particular, it is submitted that on 24.07.2024, Respondent No.1, acting on the instructions of Respondent No.2, issued a notice for taking physical possession of the said property under the provisions of the SARFAESI Act, which is stated to be in violation of Section 96 of the Code.

(v) The Applicant has submitted that once an application under Section 94 of the Code is filed, an interim moratorium commences from the date of filing of such application, during which no action or proceeding in respect of any debt can be initiated or continued, including any action for sale or taking possession of secured assets. It is submitted that since the sale certificate dated 31.05.2024 and the possession notice dated 24.07.2024 have been issued after filing of the Section 94 application, the same are non- est and liable to be set aside.

(vi) It is further submitted that the Applicant has also challenged the sale certificate dated 31.05.2024 before the Debts Recovery Tribunal, Chandigarh by filing SA No. 340 of 2024. However, it is submitted that the issue relating to breach of interim moratorium under Section 96 of the Code falls within the exclusive jurisdiction of this Adjudicating Authority, and therefore the present application has been filed under Section 60(5) of the Code.

(vii) On the basis of the aforesaid submissions, the Applicant has prayed that this Adjudicating Authority may restrain the Respondents from proceeding to take physical possession of the property in question, being Plot No. N-31, Industrial Area, Yamunanagar, on the ground that such actions are in violation of the interim moratorium under Section 96 of the Code.

***SUBMISSIONS BY THE RESPONDENT No. 2 (State Bank of India):***

3. The Respondent No. 2, i.e. State Bank of India, has filed its reply opposing the present application. The submissions of the Respondent are summarised as follows:

(i) At the outset, it is submitted that the present application is liable to be dismissed on the ground of non-joinder of necessary parties. The Respondent submits that the secured asset in question, being part of Plot No. M-31, Industrial Area, Yamunanagar, had already been sold through e-auction conducted on 11.04.2024 and the sale was confirmed in favour of the successful bidders. The Sale Certificate was issued on 31.05.2024 in favour of the auction purchasers, however, the Applicant has failed to implead the said auction purchasers, rendering the application defective.

(ii) It is further submitted that the Applicant has deliberately chosen not to challenge the Sale Certificate dated 31.05.2024, by which the title in the property stood transferred in favour of the auction purchasers, and instead has only challenged the subsequent step of taking physical possession. It is submitted that once the sale stands concluded upon issuance of the Sale Certificate, the subsequent act of handing over possession is merely consequential and does not attract the bar of interim moratorium under Section 96 of the Code.

(iii) The Respondent asserts that there has been no violation of the interim moratorium. It is submitted that although the Applicant claims to have filed an application under Section 94 on 27.04.2024, the same was returned by the Registry on 30.05.2024 due to defects and was re-filed only on 04.06.2024. Therefore, on the crucial date i.e. 31.05.2024 when the Sale Certificate was issued, no valid application was pending before the Adjudicating Authority, and hence no interim moratorium was in operation.

(iv) In support of the above, the Respondent has placed a comparative tabulation of events showing that the sale process under the SARFAESI Act commenced with issuance of sale notice on 19.03.2024, publication on 25.03.2024, auction on 11.04.2024, confirmation on 12.04.2024, and culminated in issuance of Sale Certificate on 31.05.2024, whereas the Section 94 application was defective and not validly pending on that date. The table is reproduced as follows:

(iv) In support of the above, the Respondent has placed on record the following comparative table of events under the SARFAESI Act and the Insolvency and Bankruptcy Code:

| **Dates/Details under SARFAESI** | | **Dates/Details under IBC** | |
|---|---|---|---|
| **Date** | **Particulars** | **Date** | **Particulars** |
| **19.03.2024** | Sale Notice issued to the Borrower / Guarantors | **27.04.2024** (29.04.2024 as per NCLT website) | Date of filing of Section 94 application by Sh. Ashwani Kumar Oberoi |
| **25.03.2024** | Date of Publication of Sale Notice in newspapers as per SARFAESI Act | **30.05.2024** | Date of issuance of defects / objections by Registry |
| **11.04.2024** | Date of e-Auction | **30.05.2024** | Date of return of application (being defective) by Registry to the Applicant |
| **12.04.2024** | Sale confirmed in favour of Ms. Aarushi Mehta w/o Sh. Arshu Mehta and Ms. Prabhsimran Kaur w/o Amarjeet Singh being H1 bidders | **04.06.2024** | Date of re-filing the application after removing objections raised by Registry |
| **31.05.2024** | Sale Certificate issued in favour of Auction Purchaser after receipt of balance auction amount | **08.05.2024** | Caveat Application filed by Bank |

(v) It is further submitted that the Applicant has filed the present proceedings with mala fide intent solely to take advantage of the interim moratorium and frustrate the recovery proceedings initiated under the SARFAESI Act. The Respondent submits that the secured asset had already been successfully auctioned prior to any effective insolvency proceedings and therefore the Applicant cannot invoke the moratorium to defeat a concluded sale.

(vi) The Respondent also submits that the Applicant has not approached this Tribunal with clean hands. It is contended that the loan account of M/s Kirtiman Cements & Packaging Industries Ltd. had turned NPA on 27.09.2019 and the present application under Section 94 was filed only after issuance of the sale notice dated 19.03.2024, clearly indicating that the intent of the Applicant is to stall the recovery process.

(vii) It is further submitted that the Applicant had earlier approached the Debts Recovery Tribunal-II, Chandigarh in SA No. 340 of 2024 seeking similar relief of stay on dispossession, which was rejected vide order dated 09.08.2024. The Respondent relies upon the said order to contend that even the DRT has prima facie upheld the action of the Bank and found that the Applicant was merely attempting to delay SARFAESI proceedings.

(viii) The Respondent has also relied upon various orders passed by different Benches of the NCLT, including orders dated 08.01.2024 (Ahmedabad Bench), 18.04.2024 (Ahmedabad Bench), and 03.07.2024 (Chandigarh Bench), wherein it has been held that applications under Section 94 filed by personal guarantors merely to avail the benefit of moratorium and to thwart recovery proceedings deserve to be dismissed.

(ix) It is further submitted that the Respondent had already filed a caveat application dated 08.05.2024 before this Tribunal, specifically pointing out that the Applicant was seeking to misuse the provisions of interim moratorium to stall legitimate recovery proceedings under the SARFAESI Act.

(x) The Respondent has also opposed the invocation of inherent powers under Rule 11 of the NCLT Rules, 2016, contending that such powers cannot be exercised in a manner inconsistent with the scheme of the Insolvency Code. Reliance is placed on **63 Moons Technologies Limited v. Administrator of Dewan Housing Finance Corporation Limited & Ors., (2022) ibclaw.in 95 NCLAT**, to submit that the inherent powers of the Tribunal must be exercised cautiously and in alignment with the objectives of the Code.

(xi) On merits, the Respondent has denied all averments made in the application and reiterated that the action taken under the SARFAESI Act is lawful, complete, and not hit by any moratorium.

(xii) In light of the above submissions, the Respondent has prayed that the present application be dismissed with exemplary costs.

***REJOINDER BY THE APPLICANT:***

**4.** The Applicant has filed a rejoinder to the reply filed by Respondent No. 2, reiterating and reaffirming the averments made in the application and denying the submissions of the Respondent. The submissions of the Applicant are summarised as follows:

(i) At the outset, it is submitted that the reply filed by Respondent No. 2 is premature and not maintainable at this stage in view of the judgment of the Hon'ble Supreme Court in **Dilip B. Jiwrajka v. Union of India & Ors., Writ Petition No. 1281/2021 decided on 19.09.2023**, wherein it has been held that no adjudicatory exercise is to be undertaken prior to the stage contemplated under Section 97 and Section 99 of the Code. It is submitted

that all issues are required to be considered only after submission of the report by the Resolution Professional, and therefore the present reply seeks to pre-empt such adjudication.

(ii) It is further submitted that the Sale Certificate dated 31.05.2024 is nullity in the eyes of law, as the application under Section 94 of the Code had already been filed on 27.04.2024 and even the hard copy filed on 30.05.2024 was complete in all respects, except minor defects relating to illegible documents which were cured on 04.06.2024. It is submitted that even assuming the worst case, the application stood filed on 30.05.2024 and therefore issuance of the Sale Certificate on 31.05.2024 is in contravention of Section 96 of the Code. It is further submitted that the Respondent Bank was fully aware of the filing of the petition, as is evident from the caveat filed by it.

(iii) It is submitted that the contention of the Respondent that the Sale Certificate has not been challenged is incorrect. The Applicant submits that the prayer clause in I.A. No. 1743 of 2024 already encompasses a challenge to the Sale Certificate, and in any case, to obviate technical objections, a separate application being I.A. No. 1924 of 2024 has also been filed specifically challenging the sale notice and Sale Certificate.

(iv) The Applicant has further submitted that the Respondent itself admits that the application under Section 94 was filed prior to issuance of the Sale Certificate, and therefore the said action is clearly hit by Section 96 of the Code. It is submitted that the sale cannot be said to be complete unless a Sale

Certificate is issued, and no provision of law has been cited by the Respondent to show that the sale stands concluded prior to issuance of such certificate.

(v) It is further submitted that the allegation of mala fide intent is baseless. The Applicant submits that there is no bar under the Code in filing an application merely because the loan account had been declared NPA in the year 2019, so long as the application is within limitation. It is further submitted that there is no restriction on filing of an application either before or after issuance of a sale notice. It is emphasised that the objective of the Code is resolution and preparation of a repayment plan under Section 105, for which the asset in question is of material importance.

(vi) With respect to the order passed by the Debts Recovery Tribunal dated 09.08.2024, it is submitted that the same does not bar the present proceedings, as there is no such restriction under the Code. It is further submitted that the proceedings under the SARFAESI Act and the Insolvency Code operate in different fields, the former being for recovery and the latter for resolution. It is also submitted that the said order is not final as the Applicant has already initiated steps to challenge the same before the Debts Recovery Appellate Tribunal.

(vii) It is further submitted that the Respondent Bank was fully aware of the pendency of the proceedings under Section 94 of the Code, as is evident from the caveat application, and despite such knowledge, proceeded to issue the Sale Certificate, which renders the action illegal and in violation of the interim moratorium.

(viii) The Applicant has denied the applicability of the judgments relied upon by the Respondent, submitting that the same are distinguishable on facts and have no relevance to the present case.

(ix) It is reiterated that the reply filed by the Respondent is premature and cannot be entertained prior to the stage contemplated under Section 99 of the Code, as no preliminary adjudication is envisaged at this stage in view of the law laid down by the Hon'ble Supreme Court.

(x) On the basis of the aforesaid submissions, the Applicant has prayed that the application be allowed, the Resolution Professional be appointed, and appropriate orders be passed in terms of Section 100 of the Insolvency and Bankruptcy Code, 2016.

***ARGUMENTS:***

**5.** During the course of arguments, Mr. Aalok Jagga, Ld. Counsel appearing on behalf of the Applicant, has placed heavy reliance on the following judgments:

(i) Reliance has been placed on the judgment of the Hon'ble Supreme Court in **Indian Overseas Bank v. M/s RCM Infrastructure Ltd., (2022) ibclaw.in 39 SC decided on 18.05.2022**, wherein it has been held that once CIRP is initiated and moratorium is imposed, no proceedings under the SARFAESI Act can be continued. Reliance has been placed on paragraph 35 of the said judgment, which reads as under:

> *"35. In view of the provisions of Section 14(1)(c) of the IBC, which have overriding effect over any other law, any action to foreclose, recover or enforce any security interest created by the Corporate Debtor in respect*

*of its property including any action under the SARFAESI Act is prohibited. We are of the view that the appellant Bank could not have continued the proceedings under the SARFAESI Act once the CIRP was initiated and the moratorium was ordered."*

(ii) Further reliance has been placed on the judgment of the Hon'ble Bombay High Court in **Arrow Business Development Consultants Pvt. Ltd. v. Union Bank of India & Ors., (2025) ibclaw.in 4130 HC decided on 10.12.2025**, to submit that where an interim moratorium under Section 96 of the Code comes into force after confirmation of sale but before payment of balance consideration or issuance of sale certificate, the sale cannot be completed and no ownership rights accrue in favour of the auction purchaser. Reliance has been placed on paragraph 28 of the said judgment, which reads as under:

*"28. Therefore, applying the test in Indian Overseas Bank (supra), once the interim-moratorium under Section 96 of the SARFAESI Act is in force, a secured creditor cannot receive balance payment from the successful purchaser. Thus, if the interim-moratorium kicks in post confirmation of the sale but before the balance payment is made, the only outcome is that there is no transfer of ownership of the secured asset in favour of the successful purchaser. That being the case, if there is any legal embargo in completing the sale, the successful purchaser cannot claim any ownership rights. Moreover, the interim-moratorium under Section 96 of the SARFAESI Act is much wider than that under Section 14 thereof, which position is also borne out from the aforesaid decisions."*

**6.** Per contra, Mrs. Munisha Gandhi, Ld. Counsel appearing on behalf of the Respondent Bank, has relied upon the judgment of the Hon'ble Supreme Court in **Celir LLP v. Bafna Motors (Mumbai) (P) Ltd., (2024) 2 SCC 1** and the judgment of the Hon'ble NCLAT in **Pratibha Industries Ltd. v. Yes Bank Ltd. & Anr., Company Appeal (AT) (Insolvency) No. 1049 of 2024, decided on 04.04.2025**, to submit that upon publication of the auction notice under the amended provisions of Section 13(8) of the SARFAESI Act, the jural

relationship between the borrower/guarantor and the secured creditor stands extinguished. It has been submitted that in *Pratibha Industries* (supra), the Hon'ble NCLAT has held that once the first e-auction notice is issued, the right of redemption of the borrower/guarantor stands extinguished, and consequently, the secured asset ceases to remain the property of the borrower/guarantor so as to attract the moratorium.

**7.** It has been further contended by the Ld. Counsel for the Respondent that the judgment of the Hon'ble Bombay High Court in *Arrow Business Development Consultants Pvt. Ltd.* (supra) is not binding on this Adjudicating Authority for the following reasons:

(i) **Hierarchy of Courts and Judicial Discipline:** It is submitted that a judgment of a High Court is not binding on a National Company Law Tribunal situated outside its territorial jurisdiction. The *doctrine of stare decisis* operates vertically and not horizontally, and therefore NCLT Chandigarh is not bound by the judgment of the Hon'ble Bombay High Court.

(ii) **Non-consideration of binding precedent:** It is further submitted that the judgment of the Hon'ble Bombay High Court in *Arrow Business Development Consultants Pvt. Ltd.* (supra) did not consider the judgment of the Hon'ble NCLAT in *Pratibha Industries Ltd.* (supra), wherein the interplay between Section 13(8) of the SARFAESI Act and the provisions of the Code has been elaborately dealt with. It is submitted that in case of divergent views, the judgment of the Hon'ble NCLAT, being the appellate authority under the Code, is binding on this Tribunal.

**8.** Mr. Aalok Jagga, Ld. Counsel for the Applicant has further submitted that the Hon'ble NCLAT has erred in its interpretation in *Pratibha Industries Ltd.* (supra). It is submitted that paragraph 34 of the said judgment proceeds on an incorrect premise that Section 13(8) of the SARFAESI Act was not brought to the notice of the Hon'ble Supreme Court in *Indian Overseas Bank v. M/s RCM Infrastructure Ltd.* (supra). It is submitted that the said observation is factually incorrect, as the judgment in *Indian Overseas Bank* (supra) was rendered subsequent to the amendment to Section 13(8) of the SARFAESI Act in the year 2018, and therefore the said provision was very much part of the statutory framework considered by the Hon'ble Supreme Court.

**9.** We have heard the learned counsels for the Applicant as well as for the Respondent and perused the material available on record.

***ISSUES:***

**10**. In view of the rival submissions and material placed on record, the following issue arises for consideration:

Whether the interim moratorium under Section 96 of the Insolvency and Bankruptcy Code, 2016 bars continuation of proceedings under the SARFAESI Act, 2002 in a case where the auction of the secured asset has already been conducted and the sale stands confirmed prior to the filing of the application under Section 94 of the Code?

***OBSERVATIONS AND ANALYSIS:***

**11.** Briefly stated, the relevant and admitted facts giving rise to the present issue are that the Respondent Bank had initiated proceedings under the SARFAESI Act and issued sale notice on 19.03.2024, followed by publication on 25.03.2024. Thereafter, the e-auction of the secured asset was conducted on 11.04.2024 and the sale was confirmed in favour of the successful bidders on 12.04.2024. Subsequently, the Applicant filed an application under Section 94 of the Insolvency and Bankruptcy Code, 2016 on 29.04.2024 (hard copy filed on 30.05.2024), upon which the interim moratorium under Section 96 is stated to have come into effect. Thereafter, the Respondent Bank issued the Sale Certificate on 31.05.2024 and proceeded to take steps for physical possession of the property, including issuance of notice dated 24.07.2024. While the Applicant asserts that the issuance of the Sale Certificate and subsequent actions are hit by the interim moratorium as per Section 96 of the Code, the Respondent contends that since the auction had already been conducted and sale confirmed prior to filing of the Section 94 application, the rights of the auction purchaser had already crystallised and the subsequent steps are only consequential in nature.

12. It is pertinent to refer to the judgment of the Hon'ble National Company Law Appellate Tribunal in **Pratibha Industries Ltd. v. Yes Bank Ltd. and Anr., (2025) ibclaw.in 239 NCLAT**, wherein the issue relating to the effect of SARFAESI proceedings vis a vis insolvency proceedings came up for consideration. In the said case, the secured creditor had initiated proceedings under the SARFAESI Act, issued a public auction notice and conducted an

auction prior to commencement of CIRP. The Appellant therein sought to challenge the said proceedings on the ground of moratorium. The Hon'ble NCLAT, after considering the judgments of the Hon'ble Supreme Court in **Indian Overseas Bank v. M/s RCM Infrastructure Ltd., (2022) ibclaw.in 39 SC** and **Celir LLP v. Bafna Motors (Mumbai) (P) Ltd., (2024) 2 SCC 1**, examined the impact of Section 13(8) of the SARFAESI Act and held that the right of redemption stands extinguished upon publication of auction notice and consequently the jural relationship between the parties comes to an end. The Hon'ble NCLAT observed as under:

> *"32. The issue in this regard is as to whether the relationship in respect of first property between the CD and the R1 came to end on the day when the notice for e-auction was issued in terms of amended provision of Section 13(8) of the Act. In this regard, it may be mentioned that a specific question was formulated by the Hon'ble Supreme Court in the case of Celir LLP (Supra) which read thus:- "what is the impact of the amended section 13(8) of the Act on the borrower's right of redemption in an auction conducted under the Act? Or in other words, what is the effect of amendment to Section 13(8) of the Act r/w Section 60 of the 1882 Act?*
>
> ***33.** In this regard, the Hon'ble Supreme Court has held that "in view of the aforesaid discussion, we hold that as per the amended section 13(8) of the Act, once the borrower fails to tender the entire amount of dues with all costs and charges to the secured creditor before the publication of auction notice, his right of redemption of mortgage shall stand extinguished / waived on the date of publication of the auction notice in the newspaper in accordance with Rule 8 of the 2002 Rules.*
>
> ***34.** In the presence of direct decision of the Hon'ble Supreme Court interpreting Section 13(8) of the Act,* ***the decision relied upon by the Appellant in the case of Indian Overseas Bank (Supra) which has only interpreted Section 14(1) of the Code does not apply because Section 13(8) was not brought to the notice of the Hon'ble Court****.*
>
> ***35.** The Hon'ble Supreme Court has also discussed the sanctity of public auction from paras 88 to 93 in its decision in the case of Celir LLP (Supra). The relevant portion of the said order are reproduced as under:-*
>
> > *91. Thus what is discernible from above is that it is the duty of the courts to zealously protect the sanctity of any auction conducted. The courts ought to be loath in interfering with auctions, otherwise it would frustrate the very object and purpose behind auctions and deter public confidence and participation in the same.*

*92. Any other interpretation of the amended section 13(8) will lead to a situation where multiple redemption offers would be encouraged by a mischievous borrower, the members of the public would be dissuaded and discouraged from in participating in the auction process and the overall sanctity of the auction process would be frustrated thereby defeating the very purpose of the Act. Thus, it is in the larger public interest to maintain the sanctity of the auction process under the Act.*"

**13.** The Hon'ble NCLAT, after considering the aforesaid position, further held:

*"**36. In respect of the second property, the first public notice was issued on 03.01.2019.** By that time the Appellant did not move to redeem the property by making the payment of the Bank. However, the first sale could not take place, therefore, the public notice was again published scheduling the sale of the properties on 28.01.2019. In that sale, the Bank itself purchased the property which is permitted under Section 13(5A) & 13(5B) of the Act and adjusted the amount which it had to recover from the CD.*

***37. The jural relationship between the parties in respect of second property also came to an end on 03.01.2019 or 28.01.2019 which was much earlier than the date of commencement of CIRP on 01.02.2019.** In this case, even the letter of confirmation was issued on 28.01.2019 and sale certificate was issued on 30.01.2019 much before the date of commencement of the CIRP on 1.02.2019. **The Hon'ble Supreme Court has held in the case if Celir LLP (Supra) while interpreting Section 13(8) that the relationship between the parties i.e. mortgager and mortgagee, for the purpose of redemption exists till the date of issuance of notice of sale, if the property is being sold under Section 13(8) of the Act then in that situation also the Appellant has no right to the property for the purpose of raising the dispute."***

**14.** The Applicant has contended that the Hon'ble NCLAT in Pratibha Industries case has erred in observing in paragraph 34 that Section 13(8) was not brought to the notice of the Hon'ble Supreme Court in *Indian Overseas Bank v. M/s RCM Infrastructure Ltd.* (supra). However, we are unable to agree with the said contention. A holistic reading of the judgment in *Pratibha Industries Ltd.* (supra) clearly indicates that the Hon'ble NCLAT intended to convey that the Hon'ble Supreme Court did not render any findings or detailed analysis on Section 13(8) in *Indian Overseas Bank* (supra), which was

subsequently elaborately considered in *Celir LLP v. Bafna Motors (Mumbai) (P) Ltd.* (supra). This is evident from the following observations from Pratibha Industries (supra) :

> *"**22.** He has further submitted that the decision in the case of Indian Overseas Bank (Supra) relied upon by the Appellant, is not at all applicable because in the said case there was no discussion/interpretation of Section 13(8) of the Act except Section 14(1)(c) of the Code.*
> ***23.** It is further submitted that the decision in the case of Celir LLP (Supra) is squarely applicable because in that case the Hon'ble Supreme Court has thoroughly discussed the impact of Section 13(8) before amendment and after the amendment."*

**15.** Further, even otherwise, this Adjudicating Authority cannot sit in appeal over the judgment of the Hon'ble NCLAT. The Hon'ble NCLAT is the statutory Appellate Authority under Section 61 of the Code and any challenge to its judgment lies before the Hon'ble Supreme Court under Section 62 of the Code. As on date, the judgment in *Pratibha Industries Ltd.* (supra) has neither been set aside nor stayed, and therefore, this Adjudicating Authority is bound to follow the same in view of the doctrine of stare decisis.

**16.** At this stage, it is also relevant to refer to the judgment of the Hon'ble NCLAT in **Maria Kuresh Rajkotwala v. Rozina Firoz Hajiani and Ors., Company Appeal (AT) (Insolvency) No. 1644 of 2025 decided on 30.10.2025**, wherein it has been held as under:

> *"8. From the facts which have been brought on the record it is clear that appellant has filed the Section 94 application in the NCLT on 24.12.2024 on which date receipt was issued.* ***The assets which are covered by the directions issued by the adjudicating authority were auctioned on 13.12.2024 in favour of the Auction Purchaser which was confirmed on 18.12.2024.*** *Even if we accept the submission of the appellant that sale certificate was signed on 26.12.2024 and 24.12.2024 was only unsigned sale certificate, that shall have no effect on the competition of the auction which took place on 13.12.2024 and confirmed on 18.12.2024 by the Bank.* ***The rights of the personal guarantor came to an end after auction held on 13.12.2024 was confirmed."***

**17.** In the present case, the admitted timeline clearly shows that the sale notice was issued on 19.03.2024, publication was made on 25.03.2024, e-auction was conducted on 11.04.2024 and the sale was confirmed on 12.04.2024 in favour of the successful bidders, i.e. Ms. Aarushi Mehta and Ms. Prabhsimran Kaur. The application under Section 94 of the Code was filed thereafter on 29.04.2024. Therefore, applying the ratio laid down in the aforesaid judgments, the rights of the Applicant stood extinguished on the date of confirmation of sale i.e. 12.04.2024.

**18.** The Applicant has relied upon the judgment of the Hon'ble Bombay High Court in ***Arrow Business Development Consultants Pvt. Ltd. v. Union Bank of India & Ors., (2025) ibclaw.in 4130 HC decided on 10.12.2025.*** However, firstly, It is a settled principle of law that the judgment of a High Court only has a persuasive value on this Tribunal situated outside its territorial jurisdiction and the doctrine of *stare decisis* operates vertically and not horizontally.

Secondly, the said judgment was brought to the notice of the Hon'ble NCLAT in Restoration Application of **Maria Kuresh Rajkotwala v. Rozina Firoz Hajiani and Ors., (2026) ibclaw.in 89 NCLAT decided on 04.02.2026**, wherein the Hon'ble NCLAT observed as under:

> *"2. By this Application, Appellant has prayed for the recall of the order passed by this Tribunal on 30/10/2025 in Comp. App. (AT) (Ins) No 1644 of 2025. The order was passed after hearing the Counsel for Appellant and the Appeal was dismissed.*
> *3.* ***Ld. Counsel for Appellant, relying on the judgement of the Bombay High Court Dated 10/12/2025 in writ petition No. 11132 of 2025 sought to content that view taken by this Tribunal in Para 8 of the judgement is not correct view.***

*4. The ground to recall judgement by this Tribunals are well settled. The ground which is sought to be raised by the Appellant in this Application is not a ground on which judgement delivered on merits after hearing the Appellant can be recalled.*
*5. We, thus,* ***do not find any merit in the Application. Application is rejected.****"*

Thus, even after considering the judgment of the Hon'ble Bombay High Court, the Hon'ble NCLAT did not find any reason to interfere with its earlier view.

**19.** Thirdly, even the Hon'ble Bombay High Court in **Rozina Firoz Hajiani and Ors. v. Union of India and Ors., (2026) ibclaw.in 1653 HC decided on 18.03.2026** has cautioned against misuse of the provisions of the Code by borrowers and guarantors. The Hon'ble High Court observed as under:

*"**1.** A disturbing trend is noticed by this writ Court as to the manner in which chronic defaulters are taking resort to the provisions of the Insolvency and Bankruptcy Code, 2016 (hereinafter referred to as 'the IBC' for short) to frustrate secured creditors and auction purchasers from proceeding, in accordance with law, under the provisions of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (hereinafter referred to as 'the Securitisation Act' for short).*

***2.** In a number of such matters, it is found that the borrowers/ guarantors act as fence sitters and do not take any steps when the secured creditors proceed under Section 13(2) of the Securitisation Act and take further consequential steps, till the culmination of the process and auction purchasers coming into the picture. At the stage when the auction sale has been conducted and the auction purchaser has come into the picture, in a few instances, even after the sale certificate is issued, when physical possession of the secured asset is about to be handed over to the auction purchaser, the original borrowers/guarantors initiate collusive proceedings under Section 94 or Section 95 of the IBC, claiming triggering of moratorium under Section 96 thereof, the moment such proceedings are filed before the National Company Law Tribunal (NCLT). As a consequence, all steps taken under the provisions of the Securitisation Act, suddenly come to a standstill and such borrowers/guarantors, who are defaulters, wear a cloak of immunity under the garb of moratorium triggered under Section 96 of the IBC. In such a situation, the secured creditor and/or the auction purchaser are required to approach the NCLT and thereafter, the proceedings reach the National Company Law Appellate Tribunal (NCLAT) and then the Supreme Court, till which time the auction purchaser is completely frustrated, despite having parted with consideration in terms of the bid amount.*

***3.** The manner in which such borrowers/guarantors and chronic defaulters are using the provisions of the IBC, shows that the objects of the both the IBC as well as the Securitisation Act are frustrated. This has the tendency of adversely affecting the economy, financial health and business environment in the country. In such situations, the writ Court*

*cannot remain a mute spectator, when misuse of legal provisions demonstrates failure of justice. The present petition, although it arises from an interim order of the Debts Recovery Tribunal-I, Mumbai (DRT), is one such example of gross facts manifesting the attitude and approach adopted by the respondent Nos.3 to 7 i.e. the borrowers and guarantors to ensure that the legal process is frustrated."*

**20.** It is also necessary to take note of the conduct of the Applicant. It is observed that the Public Auction Notice under the SARFAESI Act was issued on 25.03.2024 and the Applicant had sufficient opportunity prior thereto to take appropriate steps towards outstanding dues. However, no such steps were taken and the Applicant chose to initiate proceedings under the Code only after the auction was conducted on 11.04.2024 and the sale stood confirmed on 12.04.2024. It is further noted that the Applicant had also challenged the auction proceedings before the Debts Recovery Tribunal-II, Chandigarh, which by order dated 09.08.2024 in SA No. 340/2024, observed that the action of the secured creditor could not prima facie be said to be erroneous. Such conduct of the Applicant indicates an attempt to stall the recovery process at a belated stage, which cannot be countenanced.

**21.** In view of the foregoing discussion, this Adjudicating Authority is of the considered view that the present application does not merit acceptance. The rights of the Applicant came to an end on 12.04.2024, when the sale was confirmed in favour of Ms. Aarushi Mehta and Ms. Prabhsimran Kaur being the H1 bidders. The subsequent filing of the application under Section 94 of the Code on 29.04.2024 cannot have the effect of unsettling a confirmed sale, particularly when the interim moratorium under Section 96 operates prospectively from the date of filing of the application. Accordingly, the steps taken by the Respondents, including the issuance of Sale Certificate dated

31.05.2024 and proposed action for taking physical possession of the property bearing Plot No. N-31, Industrial Area, Yamunanagar, cannot be said to be in violation of Section 96 of the Code.

**22.** Accordingly, **I.A. No. 1743 of 2024 in CP(IB) No. 148/Chd/Chd/2024** stands dismissed and disposed of.

Sd/-
**Shishir Agarwal**
**Member (Technical)**

Sd/-
**Khetrabasi Biswal**
**Member (Judicial)**
Aakash